

In recent years the question of excessive compensation to management has excited considerable attention, and the public understands fairly well that here is a field where the officers' views do not necessarily represent the highest wisdom. It is not so clearly realized that to a considerable extent the same limitations apply in matters affecting the use of the stockholders' capital and surplus. We have alluded to certain aspects of this subject in our discussion of dividend policies (Chap. 29). It should be evident also that the matter of raising *new capital* for expansion is affected by the same reasoning as applies to the withholding of dividends for this purpose.

Wisdom of Continuing the Business Should Be Considered. A third question, *viz.*, that of retaining the stockholder's capital in the business, involves considerations that are basically identical. Managements are naturally loath to return any part of the capital to its owners, even though this capital may be far more useful—and therefore valuable—outside of the business than in it. Returning *a portion* of the capital (*e.g.*, excess cash holdings) means curtailing the resources of the enterprise, perhaps creating financial problems later on and certainly reducing somewhat the prestige of the officers. Complete liquidation means the loss of the job itself. It is scarcely to be expected, therefore, that the paid officers will consider the question of continuing or winding up the business from the standpoint solely of what is in the best interests of the owners. We must emphasize again that the directors are often so closely allied with the officers—who are themselves members of the board—that they too cannot be counted upon to consider such problems purely from the stockholders' point of view.

Thus it appears that the question whether or not a business should be continued is one that at times may deserve independent thought by its proprietors, the stockholders. (It should be pointed out also that this is, by its formal or legal nature, an *ownership problem* and not a *management problem*.) And a logical reason for devoting thought to this question would arise precisely from the fact that the stock has long been selling considerably below its liquidating value. After all, this situation *must* mean that either the market is wrong in its valuation or the management is wrong in keeping the enterprise alive. It is altogether proper that the stockholders should seek to determine which of these is wrong. In this determination the views and explanations of the management